

complaint

P, a limited company, has complained about the way in which UK Insurance Limited (“UKI”) handled its claim under its property insurance policy after an escape of sewage at one of its properties.

background

P owned a number of properties which it insured through UKI. In January 2016, it was contacted by the local authority which had gained access to one of its properties to investigate a reported smell coming from the property. The local authority told P the property’s basement was flooded with sewage water and said it must deal with the matter.

P reported the matter to UKI which arranged for the sewage to be pumped out, though without accepting liability. It noted that the sewage had apparently built up over a period of two or three months. It therefore carried out investigations from which it concluded that the property had been unoccupied when the escape of sewage occurred. It said that P hadn’t met its obligations under the policy, including to notify it when a property became unoccupied, to regularly inspect the unoccupied property and to take all reasonable precautions to prevent damage. It therefore declined the claim, though it didn’t seek to recoup the costs it had already incurred.

P was unhappy at UKI’s decision and referred its complaint to us. Our adjudicator recommended that the complaint should be upheld. In his opinion, while it was likely the property had been unoccupied for some months before the damage was discovered, P wasn’t aware of this. He therefore thought it was unfair for UKI to decline the claim.

UKI didn’t accept the adjudicator’s findings. It pointed out that the tenant of the property hadn’t paid any rent since February 2014 and there was other evidence to suggest the property had been unoccupied for a year or more before the claim was notified. It said P had instructed a solicitor over the non-payment of rent issue in June 2015 and should have advised it of this at that time because it represented a change in risk.

In view of the continued disagreement, the matter has been passed to me for a decision.

my findings

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint. Having done so, I uphold this complaint. I shall explain why.

UKI has pointed to three different sections of the policy under which it thinks P has failed to meet its obligations. These are as follows:

“Reasonable Precautions

The Insured shall:

- a. take all reasonable precautions to prevent or minimise Damage, accident or injury;*
- h. maintain the Locations in a good state of repair.*

Change of Risk and Interest

a. The Insured shall advise the Company as soon as they become aware of...

iii) any change in the occupation of the Locations which increases the risk of Damage as insured by the Policy.

Vacant or Disused Locations

It is a condition precedent to the liability of the Company that in respect of Locations which are Vacant or Disused the Insured shall:

a. inspect the Location as frequently as practicable and at least every 14 days..."

UKI believes the property was unoccupied for a long time before the escape of sewage water. It points out that the tenant, who had taken the property on a 25 year lease in 2012 and who operated a shop from the address, hadn't paid any rent since February 2014. Neighbours apparently reported that the shop hadn't been open for business for some time, possibly a year or more. P had instructed a solicitor in June 2015 to take action against the tenant over the unpaid rent. UKI considers that in view of the fact the property was unoccupied, P is in breach of the above clauses. It says if it had been told the property was unoccupied, it would have restricted the cover under the policy and so wouldn't have been liable for the damage when it occurred.

I think it's clear the property was unoccupied for some time before the escape of sewage occurred. And P didn't tell UKI of this. But that doesn't necessarily mean P is in breach of its obligations. The policy requires that P tells UKI as soon as it becomes aware of a change in the occupation of the property. But if it wasn't aware of the change in occupation, then it can't be held responsible for any failure to notify UKI. This is emphasised in a paragraph under the "*Change of Risk and Interest*" clause which states:

"The insurance will not be prejudiced by any act or omission unknown to or beyond the control of the Insured on the part of a tenant occupying or using the Buildings whether constituting an increase in risk or not, provided that the Insured immediately they become aware of such work or change set out ... above shall give notice in writing to the Company and pay any additional premium the Company may require."

P says it was unaware the property was unoccupied until it was notified by the local authority of the escape of sewage water. And it then notified UKI immediately.

I think it is strange that P allowed the tenant to not pay rent for such a long period. I would normally have expected a landlord to have taken action sooner. But P has explained that the tenant had been experiencing personal difficulties and it had been trying to accommodate him as far as possible. Furthermore, P's director lives some distance from the property in question and so wouldn't have necessarily been aware if there were external signs of it being unoccupied, for example the shop being permanently closed.

I understand that the tenant eventually contacted P's solicitors in February 2016 to explain he was in India where his young daughter was ill in hospital. And P repossessed the property in August 2016.

Based on the evidence available, I don't think UKI has shown that P was aware before January 2016 that the property was unoccupied. And I don't think the instruction of a solicitor over non-payment of rent is something P was required to tell UKI about under the terms of the policy. So I don't think UKI can rely on a breach of the "*Change of Risk and Interest*" clause to decline the claim.

Furthermore, given that P was unaware the property was unoccupied, I don't think it could reasonably have been expected to inspect the property at least every fourteen days. I therefore don't think it's fair for UKI to rely on a breach of the "*Vacant or Disused Locations*" clause to decline the claim.

Finally, with regard to the "*Reasonable Precautions*" clause, this places fairly general obligations on P. But given that I've already concluded that P wasn't aware the property was unoccupied and therefore wasn't in breach of the obligations specific to unoccupied properties, I don't think I can reasonably conclude it was nonetheless at fault for failing to meet these more general obligations. I don't think the fact the tenant hadn't paid rent for a long time necessarily meant P should have assumed the property was at particular risk of damage or not in a good state of repair. P was apparently in touch with the tenant on a regular basis up until it passed the matter to its solicitor. And its solicitor apparently advised it not to try and enter the premises or have further dealings with the tenant because this might affect the recovery of the outstanding rent. On balance, I don't think UKI can reasonably rely on a breach of this clause to decline the claim.

I therefore think UKI should have accepted the claim and continued to provide cover for the necessary repair work. It should now do this.

my final decision

For the reasons given above, my final decision is that I uphold this complaint. I require UK Insurance Limited to accept the claim. If invoices for eligible repair costs have already been paid by P, UKI should reimburse it directly and add interest at the annual simple rate of 8%, calculated from the date any invoice was paid to the date of settlement.

Under the rules of the Financial Ombudsman Service, I'm required to ask P to accept or reject my decision before 7 August 2017.

David Poley
ombudsman